

POLICY & SOP

Procurement Policy & Standard Operating Procedure

Version: 4.1 | Effective Date: 01-Apr-2026 | Owner: Chief Procurement Officer | Applicable To: All Procurement categories — Direct & Indirect

1. Purpose & Categories

This policy governs the sourcing and purchasing of goods and services for Sanchaya Consumer Products Limited (SCPL) across two broad categories: **Direct Procurement** (tea leaf, coffee beans, raw salt, spices, packaging materials) and **Indirect Procurement** (IT, marketing services, capex, facilities, logistics contracts).

2. Vendor Empanelment

- Prospective vendor submits registration documents (incorporation certificate, GST/PAN, financial statements, quality certifications) via the Vendor Onboarding Portal.
- Procurement conducts a documentary and, for direct material vendors, an on-site quality/capacity assessment.
- Legal & Compliance conducts ABAC and sanctions-screening due diligence.
- Approved vendors are added to the Approved Vendor List (AVL), valid for 2 years subject to annual performance review.

3. Sourcing Thresholds

Purchase Value	Minimum Bids Required	Approval Authority
Up to Rs. 5 lakh	1 quotation (AVL vendor) or 2 (new category)	Category Manager
Rs. 5 lakh – Rs. 50 lakh	Minimum 3 competitive bids	Head of Procurement
Rs. 50 lakh – Rs. 5 crore	Minimum 3 bids + techno-commercial evaluation	CPO + Business Unit Head
Above Rs. 5 crore	Formal RFP with Legal & Finance review	CPO + CFO + relevant Board committee (if applicable)

4. Purchase Order Approval Matrix

- PO within approved budget and AVL vendor: system auto-routes for single-level Category Manager approval.
- PO to a non-AVL / one-time vendor: requires Head of Procurement approval plus Finance budget confirmation.
- Emergency / break-fix procurement (e.g., plant breakdown spares): may bypass the 3-bid rule with post-facto justification filed within 5 working days, capped at Rs. 10 lakh per instance.

5. Vendor Evaluation Criteria

Criterion	Weightage
Price Competitiveness	35%
Quality & Certifications (FSSAI/ISO/HACCP where applicable)	25%
Delivery Reliability & Lead Time	20%
Sustainability & Ethical Sourcing Practices	10%
Financial Stability	10%

6. Sustainable Sourcing

In line with SCPL's Responsible Sourcing commitments, tea and coffee suppliers must demonstrate progress toward Rainforest Alliance or equivalent certification, and packaging vendors must provide a roadmap for recyclable/reduced-plastic materials as part of the empanelment process.